

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IAN MILLS, *Claimant*

v.

CROWLEY LOGISTICS, INC., *Respondent*.

DOCKET NO. 1995(F)

Served: April 24, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER PARTIALLY GRANTING CROWLEY LOGISTICS, INC.’S MOTION TO DISMISS¹

I. Introduction

This proceeding arises from a complaint filed with the Federal Maritime Commission (“FMC” or “Commission”) in connection with a dispute over a container, which was shipped from the United States to Barbados. Claimant, Ian Mills, who is *pro se*, alleges that Respondent, Crowley Logistics, Inc. (“Crowley”), who arranged shipping services, violated section 41102 and section 41104 of the Shipping Act of 1984, as amended (“Shipping Act”).

According to the complaint, the parties intended for Crowley to transport a 40-foot container, 98 dry goods, and a clip-on generator from Miami to Barbados. Complaint at 1. Mr. Mills sent the 98 dry goods to Crowley’s warehouse and Crowley arranged to pick up the container from Mr. Mills’s supplier. Complaint at 1-2. Mr. Mills alleges a clip-on generator was also picked up by Crowley’s truck driver on November 19, 2021, but that this was accidentally omitted from the bill of lading. Complaint at 1. On December 14, 2021, when Mr. Mills discovered that the clip-on generator was not with the container in Barbados, he contacted Crowley, to request that the generator be returned or refunded. Complaint at 3. However, Crowley has yet to either return or refund the generator. Complaint at 4-5. Mr. Mills therefore requests reparations totaling \$10,662 to reimburse the cost of the generator, transport a replacement generator, and for other losses stemming from this dispute and the absence of the generator. Complaint at 5.

Respondent confirms in its answer, filed July 3, 2023, (“Answer”) that the parties intended for Crowley to transport a 40-foot container and 98 dry goods from Miami to Barbados,

¹ The dismissal of this proceeding’s section 41102(c) claim will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227(c). Any party desiring to appeal must file such appeal no later than twenty-two days after service. 46 C.F.R. § 502.227(b)(1).

which shipment was detailed in a bill of lading. Answer at 1. Crowley also agrees that Mr. Mills sent the 98 dry goods to Crowley's warehouse and that Crowley arranged to pick up the container from Mr. Mills's supplier. Answer at 1, 5-6. However, Crowley contends that it never agreed to transport a clip-on generator, because the bill of lading does not list a clip-on generator. Answer at 2. Crowley also denies that it collected or received a clip-on generator. *Id.*

This action was initially filed by Mr. Mills as an informal proceeding. A Notice of Filing of Small Claims Complaint and Assignment was served on June 6, 2023. Crowley objected to informal proceedings under Subpart S in its Answer. Therefore, the proceeding is considered as a formal complaint, adjudicated pursuant to Subpart T. 46 C.F.R. § 502.311.

On July 3, 2023, in addition to filing its Answer, Crowley also filed a motion to dismiss ("MTD") asserting that Mr. Mills fails to state a claim under either Section 41102(c) or Section 41104(a)(4). MTD at 1. Crowley contends that there are only two possible factual scenarios, regarding the clip-on generator and the bill of lading, and neither can support an actionable claim. MTD at 2. Mr. Mills filed an opposition to the motion to dismiss July 18, 2023 ("Opposition").

For the reasons set forth below, Crowley's motion to dismiss regarding section 41102(c) is **GRANTED** and Crowley's motion to dismiss regarding section 41104(a)(4) is **DENIED**. Further, significant factual questions remain regarding Crowley's receipt of the clip-on generator. Therefore, the accompanying Order Regarding Completion of the Evidentiary Record directs parties to supplement the record as described therein.

II. Analysis

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). Fed. R. Civ. P. 12; *see also* *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011).

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, Docket No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the

defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff’s claim for relief. Indeed, “[w]hile a complaint need not plead ‘detailed factual allegations,’ the factual allegations it does include ‘must be enough to raise a right to relief above the speculative level’ and to ‘nudge . . . claims across the line from conceivable to plausible.’” This “‘plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not ‘accept legal conclusions cast in the form of factual allegations.’”

Cornell, 2014 WL 5316340, at *6-7 (citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”).

The Commission has clearly indicated that federal case law interpreting Federal Rule of Civil Procedure 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12.

B. Discussion

1. Section 41102(c)

Crowley asserts that Mr. Mills fails to state a claim under Section 41102(c) because this section requires that the challenged acts or omissions are occurring on a normal, customary, and continuous basis, but Claimant alleges only a single act or omission - losing and failing to ship one generator. MTD at 1. Mr. Mills contends that Crowley “has not established and/or enforced reasonable practices through omissions carried out on a normal basis” pointing to “clear evidence – based on the facts of this case” of Crowley’s inadequate system for confirming receipt of property. Opposition at 3.

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a

section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64480 (Dec. 17, 2018) (“Final Interpretive Rule”). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. The Commission discussed the “normal, customary, and continuous” element of § 41102(c) in *HangZhou Gianwang Dress Co. v. RDD Freight Int’l Inc.*, affirming the ALJ’s dismissal of the complaint, where this element had not been met. Docket No. 17-02, 2020 WL 5406762, at *3 (FMC Sept. 1, 2020). In *HangZhou*, the respondent released three of complainant’s shipments to the same consignee without obtaining the original bill of lading or complainant’s consent, which conduct occurred over two months. WL 5406762, at *5. The Commission concluded that “releasing three shipments of one shipper to one consignee over two months does not appear to be ‘customary’ or ‘continuous’ conduct . . . [n]or is there evidence that Respondent’s conduct was ‘often repeated,’ systematic,’ ‘uniform,’ and ‘habitual.’” *HangZhou*, 2020 WL 5406762, at *5 (citing Final Interpretive Rule, 83 Fed. Reg. at 64479). The Commission also held the evidence did not establish the practice to be “normal,” noting: “[a]lthough there is no intent requirement for § 41102(c) . . . that Respondent was apparently misled is relevant to whether its conduct was ‘normal.’” 2020 WL 5406762, at *5.

Here, Mr. Mills alleges that the “Parties intended for the Respondent to transport a range of items from Miami to Barbados,” including the 40-foot container, 98 dry goods, and a clip-on generator, “but accidentally omitted to include the clip on generator (stored in the Respondent’s warehouse)” on the bill of lading. Complaint at 1. Mr. Mills also repeatedly refers in his Complaint and Opposition to the generator having been “lost” by Crowley. Complaint at 1-2, 4; Opposition at 3. Both the characterization of the generator as “lost” and “accidentally” omitted from the bill of lading point to this not having been “normal” conduct for Crowley. Further, Mr. Mills’s allegations concern the loss of a single generator on a single occasion. This is below the bar already found insufficient to constitute customary or continuous conduct in *HangZhou*. *HangZhou*, 2020 WL 5406762, at *5-6.

In his Opposition, Mr. Mills provides additional factual support for the claimed acts or omissions occurring on a “normal, customary, and continuous basis,” asserting:

[Crowley] has not established and/or enforced reasonable practices through omissions carried out on a normal basis . . . by not having (or enforcing) an adequate system for confirming receipt of property that it collects (in contrast to items which are sent to it).

This is clear because (a) the Respondent's Truck Driver used no system (receipts/logs etc) to confirm receipt of the generator (fortunately the Claimant has evidence from the supplier's paperwork); (b) the Respondent's focal point (Elizabeth Guia, logistics coordinator) had no way to determine whether the generator had or had not been collected; (c) the Respondent's internal investigation (between December 14 and December 20) revealed that the Respondent's warehouse team did not keep a record or photograph of what it received from the Truck Driver and couldn't confirm either way what was received; and (d) the Respondent's internal complaint procedure made no enquiries with the Claimant nor with the supplier of the generator (despite the Claimant having provided signed paperwork showing collection by the Respondent) nor appeared to follow up directly with the Truck Driver. All of this demonstrates omissions being carried out on a normal and continuous basis resulting in unreasonable practices overseeing the collection and handling of property.

Opposition at 3-4; *see also* Complaint at 1-2 (noting that Mr. Mills "asked for his property back but the Respondent said they couldn't find the generator (as they don't have adequate systems in place and/or enforced).") However, these factual allegations essentially describe the same isolated incident. As the Commission affirmed in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, "Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice." Docket No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021), petition for review denied in *sub nom. Crocus Investments, LLC v. FMC*, 2022 WL 3012275 (D.C. Cir. 2022)); *see also Ngobros and Co. Nigeria Ltd.*, Docket No. 14-15, 2019 WL 7168688 (FMC Dec. 17, 2019) ("finding a [section 41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent.").

Mr. Mills's factual allegations offered in its Opposition are also similar to those advanced in *Crocus*, in that Mr. Mills points to a range of possible failings within Crowley's systems. In *Crocus*, the complainant listed "multiple transgressions allegedly committed by Marine Transport ranging from charging for services it failed to provide, falsifying documents, unreasonably withholding cargo, committing conversion, mishandling and failing to account for funds held in escrow, and not following Crocus's instructions, among other things." *Id.* at *9. But the Commission ultimately found that the "normal, customary, and continuous" element had not been met, stating: "Crocus's approach would result in liability if a regulated entity's 'practice' was behaving unreasonably. That is not how § 545.4 is structured, and Crocus cannot combine disparate types of allegedly unreasonable behavior into a practice for purposes of § 41102(c)." *Id.*

Here as well, Mr. Mills's factual allegations regarding disparate systems and processes potentially related to the loss of the generator do not plausibly allege a claimed act or omission

of Crowley that is normal, customary, and continuous as required for a section 41102(c) claim. Mr. Mills's section 41102(c) claim is therefore **DISMISSED**. Mr. Mills's factual allegations concerning systems utilized and the process by which the generator was lost do bear on fairness, however, and these allegations will be considered in the assessment of Mr. Mills's 41104(a)(4) claim that follows.

2. Section 41104(a)(4)

Crowley asserts that Mr. Mills fails to state a claim under Section 41104(a)(4) because Crowley did not load or land the freight, rather, according to Claimant, Crowley lost the generator; if the generator was never shipped, then Crowley also did not engage in any "service pursuant to a tariff" related to the generator; losing a generator is not "unfair or unjustly discriminatory;" and there is no allegation that Crowley treated Mr. Mills differently than any other customer. MTD at 1-2, 8. Mr. Mills contends that section 41104(a) prohibits a carrier from acting unfairly, directly or indirectly, in the matter of loading and landing freight for service pursuant to a tariff; here the parties had the intention for Crowley to load and land freight in accordance with a service pursuant to a tariff subject to putting in place a bill of lading once items were received; and when Crowley collected the generator but did not have a system in place (or implemented) for recording that, it became a matter of indirectly acting unfairly in relation to loading freight. Opposition at 4.

As relevant here, Section 41104(a)(4) of the Shipping Act, previously 10(b)(4)(D), states that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of . . . (D) loading and landing of freight[.]" 46 U.S.C. § 41104(a)(4)(d).²

Here, Mr. Mills alleges that he presented information concerning the generator to Crowley, along with information concerning the 98 dry goods, for inclusion on the bill of lading; and that Crowley took possession of the clip-on generator, which was physically attached to the container that Crowley picked up and shipped for Mr. Mills. Complaint at 2-3; Opposition at 3. Mr. Mills further alleges that the generator was subsequently lost by Crowley and has neither been shipped nor returned to Mr. Mills. Complaint at 1-2, 4. The instant case is therefore similar to *Adair v. Penn-Nordic Lines, Inc.*, where an NVOCC received a motorcycle but did not ship the motorcycle, but initially lost it. Docket No. 1695(F), 1991 WL 383091, at *8-9 (ALJ Sept. 19, 1991), admin. final Oct. 24, 1991. The motorcycle was later located by the NVOCC in a warehouse, but the NVOCC refused to return the cargo to complainant until storage charges were paid. *Id.* at *9. The ALJ held that the "litany of misconduct" by the NVOCC demonstrated a 10(d)(1) violation and that "such conduct also would support a finding that Penn-Nordic engaged in 'any unfair or unjustly discriminatory practice' in the matter of 'the loading and landing of freight'" although concluding "it is unnecessary to determine . . . additional violations

² On June 16, 2022, the Ocean Shipping Reform Act of 2022 ("OSRA 2022") passed, which revised portions of the Shipping Act, including section 41104(a)(4). However, because the relevant conduct here was completed prior to June 2022, the pre-OSRA version of 41104(a)(4) is applicable. See *Landgraf v. USI Film Products*, 511 U.S. 244, 270 (1994); *Amin v. Quad/Graphics, Inc.*, 929 F. Supp. 73, 79 (N.D.N.Y. 1996).

since Penn-Nordic can be found to have violated section 10(d)(1).” *Adair*, 1991 WL 383091, at *14.

Further, while Crowley seems to suggest that an element of discrimination is necessary to support a section 41104(a)(4) claim, some decisions have read this section so as to differentiate between an “unfair” practice and an “unjustly discriminatory” practice. For example, in *Symington Euro Car Transport Inc.*, where an NVOCC took money from complainant to ship a car, but never shipped the car, the ALJ found that the NVOCC’s “conduct constitutes an unfair practice in the matter of loading and landing of complainant’s automobile.” Docket No. 92-47, 1993 WL 113704, at *5 (ALJ Mar. 17, 1993), admin. final Apr. 22, 1993.

Thus, while significant questions remain concerning this claim, these will be better resolved with additional information, including the process Crowley followed between the truck driver’s receipt of Mr. Mills’s container, with the generator allegedly attached, and the shipment of such container with no generator attached. At this stage of the proceeding, accepting Mr. Mills’s allegations as true, he has plausibly alleged a section 41104(a)(4) claim. Therefore Crowley’s motion to dismiss the 41104(a)(4) claim is **DENIED**.

3. Bill of Lading

Crowley asserts in its Motion to Dismiss that there are only two possible factual scenarios, neither of which can support an actionable claim. MTD at 2. Crowley proposes that under scenario one, if the parties intended for Crowley to transport the clip on generator but omitted the generator from the bill of lading by accident, then dismissal is appropriate because the bill of lading applies, along with its terms and conditions, notice period, statute of limitations, forum selection clause, and \$500 limitation of liability; under scenario two, if the bill of lading does not apply to the generator because it was not listed on the bill of lading, then Crowley has no obligations related to the generator because there is no agreement to ship the generator. MTD at 2.

Mr. Mills contends that it is incorrect for Crowley to suggest the bill of lading was entered into prior to Crowley receiving the items, as only after all items were with Crowley, including Crowley signing for and collecting the generator, did Crowley create a bill of lading; it was Crowley’s fault for not including the generator in the bill of lading and not shipping it; and Claimant is not claiming that Crowley is liable under the bill of lading, but that Crowley is liable for violating the Shipping Act. Opposition at 4.

Crowley’s argument concerning the bill of lading misses the mark. Mr. Mills has alleged violations of the Shipping Act, and the Shipping Act is not limited by right or restrictions contained within a bill of lading. *See, e.g.*, Final Rule: Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638 at 29648 (May 18, 2020) (“Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).”). Furthermore, Crowley’s liability also is not bounded by dollar values contained within its bill of lading. Injured parties are compensated for actual injury in the case of Shipping Act violations. 46 U.S.C. § 41305(b). Accordingly, Mr. Mills’s section

41104(a)(4) claim will continue to be evaluated, aided by the additional discovery ordered, as described in the accompanying Order Regarding Completion of the Evidentiary Record.

C. Conclusion

For the reasons discussed, it is found that Mr. Mills has stated a plausible claim for relief with respect to his section 41104(a)(4) claim, however, Mr. Mills's section 41102(c) claim is dismissed. The parties are also encouraged to make use of the services of the Office of Consumer Affairs and Dispute Resolution Services (CADRS), to the extent that this may be helpful in resolving outstanding issues.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondent Crowley's motion to dismiss regarding section 41102(c) be **GRANTED**. It is

FURTHER ORDERED that Respondent Crowley's motion to dismiss regarding section 41104(a)(4) be **DENIED**.

ALEX
CHINTELLA

Digitally signed by
ALEX CHINTELLA
Date: 2024.04.24
12:44:52 -04'00'

Alex M. Chintella
Administrative Law Judge